LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What Is Demand Loans ?

Developed by www.loanbazaaronline.com

Table of Contents

Module	Title	PAGE NO
	Executive Summary & Course Orientation	Page No. 3
Module 1	Product Overview & Core Fundamentals	Page No. 4
Module 2	Structural Architecture & How Demand Loans Work	Page No. 6
Module 3	Comparative Capital Architecture Matrix	Page No. 7
Module 4	Common Eligibility Criteria, Credit Appraisal & Underwriting Framework	Page No. 10
Module 5	Security Architecture, Documentation & Legal Covenants	Page No. 12
Module 6	Indicative Tenure, Pricing Mechanics, Accounting & Tax Shields	Page No. 14
Module 7	Suitable Industries, Borrower Profiles & Market Alignment	Page No. 16
Module 8	Key Advantages and Limitations of Demand Loans	Page No. 18
Module 9	Comprehensive Real-World Case Study (Indian Rupee Models)	Page No. 19
Module 10	Regulatory Compliance, RBI IRACP Norms & Default Framework	Page No. 23
Module 11	Professional Certification Examination & Detailed Rationales	Page No. 24

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Executive Summary & Course Orientation

Demand Loans represent one of the most fundamental, agile, and cost-effective credit structures in the Indian commercial banking and corporate finance ecosystem. Characterized by their unique legal recallability—wherein the lending institution retains the unconditional legal right to demand full repayment of principal and accrued interest at any time ("on demand")—this financial product serves as a vital bridge for short-term working capital gaps, seasonal liquidity spikes, interest rate optimization, and asset-backed personal or corporate credit needs.

This white paper reference textbook is designed as an exhaustive, end-to-end masterclass curriculum. It covers every operational, legal, credit, underwriting, tax, and structural aspect of Demand Loans in India. Written specifically to empower finance rookies, credit analysts, relationship managers, corporate treasurers, and MSME promoters, this document provides the depth and analytical rigor required to master the product, structure complex transactions, perform quantitative underwriting, and clear all professional certification assessments on corporate credit and working capital finance.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 1: Product Overview & Core Fundamentals

1.1 Definition and Foundational Concept of Demand Loans

A Demand Loan is a specialized debt facility extended by banks, Non-Banking Financial Companies (NBFCs), and financial institutions wherein the borrower is provided a lump-sum disbursement or tranche-based drawdowns under an explicit contractual agreement that the outstanding principal and interest must be repaid immediately upon receipt of a formal demand or recall notice from the lender.

Unlike a traditional Term Loan—which features a fixed, multi-year repayment schedule with protected tenure—or a revolving Cash Credit (CC) / Overdraft (OD) facility designed for continuous operational churn, a Demand Loan creates a short-term, callable debt obligation. In practice, while the lender holds the statutory and contractual right to recall the loan on demand, commercial banks in India typically establish an agreed indicative tenure (ranging from 7 days to 12 months) during which the facility remains active, provided the borrower complies with financial covenants and maintains adequate collateral cover.

In the Indian financial system, Demand Loans manifest in two primary commercial formats: 1. **Working Capital Demand Loans (WCDL):** Extended to corporate and MSME borrowers as part of their total assessed working capital limit (under the Maximum Permissible Bank Finance - MPBF framework) to fund short-term operating cycles, inventory buildup, or seasonal trade requirements at lower interest rates than revolving Cash Credit lines. 2. **Retail & Asset-Backed Demand Loans:** Extended to individuals, HNIs, sole proprietorships, and firms against specific liquid or semi-liquid collateral, such as Fixed Deposits (FDs), National Savings Certificates (NSCs), Life Insurance Policies, Demat Shares, Mutual Fund Units, Gold, or Property.

1.2 The Legal Architecture of “On-Demand” Recallability

The legal foundation of a Demand Loan in India rests upon Section 5 and Section 138 of the Negotiable Instruments Act, 1881, alongside the Indian Contract Act, 1872. When a Demand Loan is sanctioned, the borrower executes a **Demand Promissory Note (DPN)** in favor of the bank, promising to pay on demand the sanctioned amount with interest.

Key legal characteristics include: * **Unconditional Right of Recall:** The lender does not require a pre-existing event of default to issue a recall notice, although in practice, banks exercise this right primarily during credit deterioration, covenant breaches, or systemic liquidity crunches. * **No Fixed Maturity Rights for Borrower:** The borrower cannot legally claim a right to hold the funds until a future date if a formal demand notice has been served. * **Immediate Acceleration:** Upon service of a demand notice (typically providing a 7-day to 15-day cure or payment window), the entire outstanding balance becomes due and payable immediately. * **Statute of Limitations:** Under the Limitation Act, 1963 (Article 21), the period of limitation for a loan payable on demand is three years, starting from the date when the loan is made or the Demand Promissory Note is executed.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 2: Structural Architecture & How Demand Loans Work

2.1 The Mechanics of Working Capital Demand Loans (WCDL)

For commercial enterprises and MSMEs, Demand Loans are most frequently structured as **Working Capital Demand Loans (WCDL)**. To understand WCDL, one must examine how Indian banks structure overall working capital facilities following Reserve Bank of India (RBI) guidelines and the historical legacy of the Tandon and Nayak Committees.

Under the RBI's Loan System for Delivery of Bank Credit, large corporate borrowers above a specified credit threshold (e.g., Working Capital limits of ₹10 Crores and above) are required to split their fund-based working capital facility into two components: * **Cash Credit Component (Max 40%):** Revolving credit line for day-to-day operational fluctuations. * **Working Capital Loan Component / WCDL (Min 60%):** Fixed-tenure demand loan tranches disbursed for specific operating cycles (e.g., 30, 60, 90, or 180 days).

2.2 Disbursement, Repayment, and Rollover Mechanics

1. **Tranche-Based Disbursement:** Instead of drawing down small amounts daily, the borrower applies for a WCDL tranche (e.g., ₹2.00 Crores for 90 days) against confirmed purchase orders or raw material procurement needs.
2. **Bullet Principal Repayment:** The principal amount is repaid as a single bullet payment at the end of the tranche tenure (or earlier if recalled), funded by customer invoice realizations.
3. **Monthly Interest Servicing:** Interest is calculated on a daily reducing balance and debited monthly to the borrower's operative Current Account or Cash Credit account.
4. **Rollover / Refinancing Option:** Upon maturity of a 90-day tranche, if the borrower's Drawing Power (DP) and credit conduct remain satisfactory, the bank may allow the borrower to "roll over" or refinance the tranche by executing a fresh demand note for another 90 days.

2.3 On-Demand Recall Mechanics & Default Acceleration

If the lending bank decides to recall a Demand Loan prior to its indicative maturity: * **Step 1: Issuance of Recall Notice:** Bank serves a written Demand Notice specifying the outstanding principal, accrued interest, and penal charges, requesting full remittance within a stipulated window (typically 7 to 15 days). * **Step 2: Freezing of Drawdowns:** All further drawdowns across WCDL tranches and Cash Credit lines are immediately suspended. * **Step 3: Appropriation of Escrow / Receivables:** All incoming trade collections credited to the bank's collection account are automatically appropriated toward the Demand Loan balance. * **Step 4: Collateral Enforcement:** If unpaid after the notice period, the bank initiates default recovery protocols under Section 138 of the Negotiable Instruments Act (for dishonored DPN/cheques), SARFAESI Act 2002 (for secured assets), or pledge enforcement (for pledged shares/FDs).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 3: Comparative Capital Architecture Matrix

To understand where Demand Loans sit within the corporate credit hierarchy, the table below provides a comprehensive comparison against alternative debt instruments available in the Indian financial market.

Table 3.1: Comparative Analysis of Working Capital & Short-Term Debt Products in India

Parameter	Demand Loan / WCDL	Cash Credit (CC)	Term Loan	Overdraft (OD)	Commercial Paper (CP)
Primary Commercial Purpose	Short-term working capital tranches & operating cycles	Continuous revolving working capital	Long-term CAPEX & fixed asset creation	Day-to-day liquidity buffer	Ultra-low cost money market borrowing
Indicative Tenure	7 days to 12 months (typically 30–180 days)	12 months (renewed annually)	3 to 15 years	12 months (renewed annually)	7 days to 365 days
Repayment Structure	Bullet principal repayment at maturity; monthly interest	Continuous credit/debit churn; no fixed principal schedule	Monthly/ quarterly EMI (Principal + Interest)	Continuous churn against limit	Bullet repayment at maturity
Legal Recallability	Unconditional on-demand recall by lender	Annual review recall; subject to DP	Protected tenure; recallable only on default	Recallable on demand or annual review	Fixed maturity; non-recallable prior to due date

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Parameter	Demand Loan / WCDL	Cash Credit (CC)	Term Loan	Overdraft (OD)	Commercial Paper (CP)
		availability			
Interest Pricing Benchmark	EBLR / MCLR / Repo + Low Spread (e.g., 8.25% - 9.75%)	MCLR + Higher Spread (e.g., 10.50% - 12.50%)	MCLR / EBLR + Medium Spread (e.g., 9.50% - 11.50%)	EBLR / MCLR + Spread (e.g., 10.00% - 12.00%)	Money Market Yield (e.g., 7.50% - 8.75%)
Commitment Charges	Zero commitment charge on drawn tranches	Charge (0.25%-0.50%) on unutilized limit	Commitment fee on undrawn capex limit	Nil or minimal on undrawn portion	Not applicable (discounted issue)
Collateral Requirements	Hypothecation of stock/receivables or pledge of FDs/securities	First charge on current assets; secondary fixed assets	First charge on project fixed assets	Fixed assets, FDs, or property mortgage	Unsecured (requires CRISIL A1+ rating)
Drawing Power (DP) Linkage	Strictly linked to verified DP & stock statements	Strictly linked to monthly DP calculations	Not linked to DP; based on asset creation	Linked to pledged collateral value	Independent of DP; based on rating & net worth
Off-Balance Sheet Potential	No (On-balance sheet	No (On-balan	No (On-balance sheet	No (On-balance sheet	No (Short-term debt

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Parameter	Demand Loan / WCDL	Cash Credit (CC)	Term Loan	Overdraft (OD)	Commercial Paper (CP)
	financial liability)	ce sheet liability)	long-term liability)	short-term liability)	instrument)
Tax Deductibility (Sec 36(1)(iii))	100% Interest Tax Deductible	100% Interest Tax Deductible	100% Interest Tax Deductible	100% Interest Tax Deductible	Discount tax-deductible as financial expense

Insight: While Cash Credit provides maximum flexibility for daily operational fluctuations, Demand Loans / WCDLs offer a significantly lower interest rate (saving 150 to 250 bps) and eliminate commitment charges on idle limits, making them the preferred working capital vehicle for disciplined corporate treasuries.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 4: Common Eligibility Criteria, Credit Appraisal & Underwriting Framework

4.1 Quantitative Underwriting & Sizing Formulas

Lending institutions evaluate Demand Loan applications using a dual-track credit appraisal framework that combines historical financial analysis with short-term cash flow predictability.

A. Sizing Drawing Power (DP) for Working Capital Demand Loans

For WCDL, the maximum permissible borrowing limit is bounded by the borrower's calculated Drawing Power:

extDrawingPowerDP=[extPaidStockimes1−extStockMargin%ight]+[extEligibleReceivablesimes1−extDebtorMargin%ight]

Where: * **Paid Stock** = Total Raw Materials + Work-in-Progress (WIP) + Finished Goods LESS Sundry Creditors for raw materials. * **Stock Margin** = Typically 25% to 30%. * **Debtor Margin** = Typically 30% to 40% (for debtors up to 90 or 120 days).

B. Sizing Demand Loans Against Fixed Deposits / Securities

For asset-backed Demand Loans (Loan against FD/Mutual Funds/Shares):

$$extEligibleDemandLoanAmount = extCollateralValueimesextMaximumLTVCap\%$$

Where LTV Caps are mandated by bank internal credit policies and RBI guidelines: * **Fixed Deposits (Bank's Own FD):** Up to 90% - 95% of principal + accrued interest. * **Mutual Funds (Debt Funds):** Up to 80% - 85% of Net Asset Value (NAV). * **Mutual Funds (Equity Funds):** Up to 50% of NAV. * **Approved Equity Shares (Listed Tier-1):** Up to 50% of prevailing market capitalization. * **Life Insurance Policies (Surrender Value):** Up to 85% - 90% of certified surrender value.

C. Core Financial Coverage Ratios

Lenders mandate strict financial coverage ratios for corporate Demand Loans: 1. **Interest Coverage Ratio (ICR):**

$$extICR = racextEBITDAextTotalInterestExpense \geq 2.00x$$

2. **Current Ratio:**

extCurrentRatio=racextCurrentAssetsextCurrentLiabilities1.33:1 extTandonCommitteeSecondMethodBenchmark

3. **Total Debt to EBITDA Ratio:**

$$extTotalDebt/EBITDA \leq 3.50x$$

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

4.2 Credit Scorecard & Qualitative Criteria

In addition to quantitative ratios, underwriters evaluate: * **Borrower Credit Rating:** Minimum Investment Grade rating (CRISIL / ICRA / CARE / India Ratings **BBB- or higher** for corporate WCDL facilities above ₹5 Crores; **CIBIL Commercial Rank CMR 1 to CMR 4** for MSMEs). * **Promoter Vintage & Track Record:** Minimum 3 to 5 years of successful operational history in the core line of business. * **Bank Account Behavior:** Satisfactory banking conduct, zero cheque bounce instances under Section 138 NI Act, and minimum outward debit/inward credit turnover through the lender's current account matching projected sales.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 5: Security Architecture, Documentation & Legal Covenants

5.1 Primary and Collateral Security Structure

The security package for a Demand Loan depends directly on whether the facility is structured as an operational Working Capital Demand Loan (WCDL) or an Asset-Backed Demand Loan.

A. Working Capital Demand Loans (WCDL) Security Package:

- **Primary Security:** First pari-passu or exclusive charge by way of **Hypothecation** under Section 2(1)(n) of the SARFAESI Act, 2002, over the borrower's entire current assets—including raw materials, work-in-progress, finished goods, stores/spares, and book debts/receivables.
- **Collateral Security:** Second or pari-passu charge over factory land, commercial buildings, or industrial real estate under Section 58(f) Equitable Mortgage of the Transfer of Property Act, 1882.
- **Personal & Corporate Guarantees:** Unconditional, irrevocable personal guarantees executed by promoter-directors and corporate guarantees executed by parent/group entities.

B. Asset-Backed Demand Loans Security Package:

- **Pledge of Financial Assets:** Formal pledge or lien marking over fixed deposit receipts, Demat share accounts (via NSDL/CDSL lien creation), mutual fund folio lien marking, or physical pledge of gold ornaments under Section 172 of the Indian Contract Act, 1872.

5.2 Essential Documentation Checklist

To establish enforceable legal rights, lenders execute a comprehensive documentation suite: 1. **Demand Promissory Note (DPN):** Executed by the borrower promising unconditional payment on demand. 2. **Agreement for Demand Loan / WCDL Agreement:** Master facility agreement outlining interest rate benchmarks, rollover rules, events of default, and recall protocols. 3. **Deed of Hypothecation:** Legal instrument creating charge over current assets and receivables. 4. **Power of Attorney (PoA) for Receivables Collection:** Authorizing the bank to collect receivables directly from commercial buyers in the event of default. 5. **Deed of Guarantee:** Personal guarantee from promoters and corporate guarantees from holding entities. 6. **Board Resolution under Section 179(3)(d) of the Companies Act, 2013:** Authorizing the company to borrow funds and execute loan documents.

5.3 Statutory Registrations & Regulatory Compliance

- **ROC Form CHG-1 Filing:** Mandatory registration of charge with the Registrar of Companies (ROC) under Section 77 of the Companies Act, 2013, within 30 days of charge creation.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- **CERSAI Registration:** Filing charge details on the Central Registry of Securitisation Asset Reconstruction and Security Interest (CERSAI) portal within 30 days to establish priority over other creditors.
- **NeSL Information Utility Registration:** Submission of debt and default data to the National E-Governance Services Limited (NeSL) under the Insolvency and Bankruptcy Code (IBC), 2016.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 6: Indicative Tenure, Pricing Mechanics, Accounting & Tax Shields

6.1 Indicative Tenure Breakdown

While legally recallable on demand, Demand Loans are structured around specific operational tenures: * **Ultra-Short Term Demand Loans (Call / Notice Loans):** 1 day to 14 days; utilized primarily by financial institutions, primary dealers, and treasury desks for inter-bank liquidity balancing. * **Short-Term WCDL Tranches:** 30 days, 60 days, or 90 days; aligned with the borrower's raw material conversion cycle or trade receivables collection cycle. * **Extended WCDL Facilities:** 180 days to 365 days; utilized for agricultural crop harvesting cycles, seasonal inventory stocking, or annual export contracts. * **Asset-Backed Demand Loans (Against FD / Shares):** Co-terminus with the underlying asset maturity (e.g., matching the maturity date of the pledged Fixed Deposit).

6.2 Interest Pricing & Benchmark Spread Mechanics

Interest rates on Demand Loans in India are floating or fixed, benchmarked to the bank's External Benchmark Lending Rate (EBLR - typically RBI Repo Rate) or Marginal Cost of Funds based Lending Rate (MCLR):

```
extDemandLoanInterestRate=extBenchmarkRateEBLR/MCLR+extCreditRiskSpread+extTenurePremium
```

Because Demand Loans carry lower duration risk for banks compared to long-term loans, credit spreads are tight: * **Corporate WCDL Rate:** Typically **EBLR + 1.50% to 2.50%** (Effective 8.25% - 9.75% p.a.). * **Demand Loan against Bank Fixed Deposit:** Typically **FD Coupon Rate + 1.00% to 2.00% p.a.** (e.g., if FD earns 7.00%, loan rate is 8.00% - 9.00% p.a.). * **Demand Loan against Shares / Mutual Funds:** Typically **9.50% to 12.00% p.a.**

6.3 Accounting Treatment (Ind AS 109 & Ind AS 1)

Under Indian Accounting Standards (Ind AS): * **Balance Sheet Classification (Ind AS 1):** Demand Loans and WCDLs are classified strictly under **Current Liabilities - Short-Term Borrowings** on the corporate balance sheet, as the lender retains the legal right to demand immediate settlement. * **Borrowing Cost Accounting (Ind AS 23):** Interest expense on WCDL utilized for general working capital is expensed directly to the Profit & Loss Statement as Finance Costs.

6.4 Corporate Income Tax Shield (Section 36(1)(iii))

Under Section 36(1)(iii) of the Income Tax Act, 1961, interest paid on capital borrowed for the purpose of business or profession is **100% tax-deductible** as an operating expense.

$$extPost - TaxEffectiveCostofDemandLoan = extNominalInterestRateimes(1 - extCorporateTax$$

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

For an Indian corporate subject to the base corporate tax rate of **25.168%** (22% base + 10% surcharge + 4% cess under Section 115BAA): * **Pre-Tax WCDL Interest Rate:** 9.50% p.a. * **Post-Tax Effective Interest Cost:**

$$K_{d,extpost} = 9.50\% imes (1 - 0.25168) = 7.109\% extp.a.$$

This tax deductibility substantially reduces the net cash outflow for corporate borrowers.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 7: Suitable Industries, Borrower Profiles & Market Alignment

Demand Loans are highly versatile credit instruments suited for specific corporate profiles, business models, and financial situations across the Indian economic landscape.

7.1 Target Industry Verticals & Business Profiles

1. Auto Components & Advanced Manufacturing

- **Operational Fit:** Tier-1 and Tier-2 auto component manufacturers supplying OEMs like Tata Motors, Maruti Suzuki, and Mahindra & Mahindra face predictable 60-to-90 day invoice settlement cycles.
- **Demand Loan Usage:** Drawdown 90-day WCDL tranches to finance raw material steel/aluminum procurement upon receiving OEM purchase orders, liquidating the tranche when OEM invoice proceeds arrive.

2. FMCG & Consumer Durables Distribution Networks

- **Operational Fit:** National distributors and super-stockists handling high-volume inventory turnover during festive seasons (Diwali, Dussehra) require short-term liquidity surges.
- **Demand Loan Usage:** Drawdown 30-to-60 day Demand Loans to stock peak seasonal inventory, achieving bulk purchase discounts from FMCG principals that exceed the loan interest cost.

3. Seasonal Agri-Commodity Processing & Export

- **Operational Fit:** Rice millers, cotton ginners, sugar mills, and spice exporters operate under intense 3-to-4 month procurement windows when agricultural crops arrive at mandis.
- **Demand Loan Usage:** Disburse 120-day Demand Loans to purchase raw paddy or seed cotton, liquidating the facility as processed commodities are exported or sold to domestic wholesalers.

4. EPC Infrastructure Contractors (Mobilization Gap Financing)

- **Operational Fit:** Engineering, Procurement, and Construction (EPC) firms awarded government infrastructure contracts experience a 60-day lag between site mobilization and receipt of client mobilization advances or first Running Account (RA) bills.
- **Demand Loan Usage:** Short-term 60-day WCDL to bridge the mobilization gap without diluting equity or taking on high-cost NBFC debt.

5. High-Net-Worth Individuals (HNIs) & Promoters

- **Operational Fit:** Promoters seeking short-term liquidity for equity rights issues, tax payments, or personal investments without liquidating long-term Fixed Deposits or high-yielding equity portfolios.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- **Demand Loan Usage:** Demand Loans against Fixed Deposits or Demat Mutual Fund portfolios, preserving asset ownership and compounding returns.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 8: Key Advantages and Limitations of Demand Loans

8.1 Key Strategic Advantages

A. Significant Interest Cost Savings

Demand Loans and WCDL tranches are priced at narrow credit spreads above benchmark rates (EBLR/MCLR), typically **150 to 250 basis points cheaper than Cash Credit lines**. For a corporate utilizing ₹20 Crores in working capital, replacing Cash Credit with WCDL can yield annual pre-tax interest savings of **₹30 Lakhs to ₹50 Lakhs**.

B. Elimination of Unutilized Commitment Charges

Under RBI guidelines, banks levy commitment charges (0.25% - 0.50% p.a.) on unutilized portions of Cash Credit limits if average utilization falls below a threshold (e.g., 70% or 80%). Demand Loans are disbursed in discrete, fully drawn tranches, completely eliminating commitment fees on idle credit lines.

C. Perfect Operational Alignment with Cash Conversion Cycles

WCDL tranches can be tailored to match the exact duration of a company's Cash Conversion Cycle (e.g., a 45-day tranche for a 45-day inventory-to-cash cycle), preventing the buildup of chronic, expensive long-term debt on the balance sheet.

D. Preservation of Long-Term Wealth Assets

Asset-backed Demand Loans allow HNIs and promoters to raise instant liquidity against FDs, Mutual Funds, or Shares at short notice without triggering premature withdrawal penalties, capital gains taxes, or loss of compounding growth.

8.2 Limitations and Structural Risks

A. Unconditional On-Demand Recall Risk

The primary structural risk of a Demand Loan is the lender's legal right to demand immediate repayment at any time. If the lending bank faces a systemic liquidity crisis, regulatory action, or credit risk re-assessment, it may issue a recall notice, forcing the borrower to arrange instant refinancing or face default.

B. Refinancing / Rollover Uncertainty

Unlike a Cash Credit facility that automatically revolves as long as Drawing Power exists, a Demand Loan tranche requires explicit bank approval for rollover at maturity. If market conditions tighten or the borrower's financial ratios breach covenants, the bank may refuse to roll over the tranche, creating an acute liquidity crunch.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

C. Bullet Repayment Cash Flow Shock

Because principal is due in a single bullet payment at maturity, the borrower must maintain disciplined cash flow forecasting. If commercial receivables are delayed by buyers, the borrower faces a severe repayment default risk at the end of the tranche tenure.

D. Non-Revolving Flexibility Constraints

A Demand Loan is not a revolving credit line. Once a tranche is repaid, the borrower cannot instantly re-draw funds without submitting a fresh tranche request and obtaining bank approval.

Module 9: Comprehensive Real-World Case Study (Indian Rupee Models)

To illustrate the quantitative mechanics, cash flow impact, and interest cost optimization of Demand Loans in India, this module presents a detailed, real-world case study modeled in Indian Rupees (₹ / INR).

9.1 Borrower Profile & Baseline Working Capital Demand

- **Borrower Entity:** *Mumbai Precision Components Pvt. Ltd. (MPCPL)*
- **Business Activity:** Tier-1 Auto Component Manufacturer supplying automotive OEMs in Chakan and Pune.
- **Annual Turnover:** ₹120.00 Crores
- **Assessed Total Working Capital Requirement:** ₹20.00 Crores
- **Operating Conversion Cycle:** 90 Days (Raw Material Procurement to OEM Receivable Collection)
- **Applicable Corporate Tax Rate:** 25.168% (under Section 115BAA)
- **Company Credit Rating:** CRISIL BBB / Stable (CIBIL CMR 3)

9.2 The Working Capital Financing Challenge

MPCPL has been offered two distinct working capital credit structuring options by its consortium lead bank:

Option A: Traditional 100% Cash Credit (CC) Facility

- **Sanctioned Limit:** ₹20.00 Crores (Revolving Cash Credit)
- **Interest Rate:** MCLR (8.50%) + Spread (3.50%) = **12.00% p.a.**
- **Average Annual Utilization:** 80% (₹16.00 Crores average daily drawdown)
- **Bank Commitment Charge:** 0.50% p.a. on unutilized limit below 80% threshold (charged on ₹4.00 Crores unutilized portion).

Option B: Structured 70:30 WCDL / Cash Credit Split (RBI Loan System Architecture)

- **Cash Credit Component (30%):** ₹6.00 Crores Limit at 11.50% p.a. (utilized for daily petty expenses; average drawdown ₹4.00 Crores).

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

- **Working Capital Demand Loan (WCDL) Component (70%):** ₹14.00 Crores Limit disbursed in 90-day rolling Demand Loan tranches at **9.00% p.a.** (EBLR + 2.50%).
- **Average WCDL Drawdown:** 100% utilization of the ₹14.00 Crores WCDL limit for procurement cycles.

9.3 Comparative Financial Modeling & Quantitative Proof

Let's model the annual pre-tax and post-tax interest outlays, commitment fees, and net financial savings for MPCPL under Option A vs. Option B.

A. Option A Financial Outlay (100% Cash Credit Line):

1. **Average Drawdown Amount:** ₹16.00 Crores
2. **Annual Pre-Tax Interest Outflow:**

$$extInterest_{extOptionA} = ₹16.00 extCroresimes 12.00\% = ₹1.9200 extCrores \quad (ext₹1,92,00,000.00)$$

3. **Annual Commitment Fee on Unutilized Balance (₹4.00 Crores @ 0.50%):**

$$extCommitmentFee = ₹4.00 extCroresimes 0.50\% = ₹0.0200 extCrores \quad (ext₹2,00,000.00)$$

4. **Total Pre-Tax Outflow (Option A):**

$$extTotalPre-TaxOutflow = ₹1.9200 extCr + ₹0.0200 extCr = ₹1.9400 extCrores \quad ext₹1,94,00,000.00$$

Post-Tax Outflow (Section 36(1)(iii) Shield @ 25.168%):

$$extPost-TaxOutflow extOptionA = ₹1.9400 extCrimes 1-0.25168 = ₹1.4517 extCrores \quad ext₹1,45,17,408.00$$

B. Option B Financial Outlay (70:30 WCDL / Cash Credit Split):

1. **Cash Credit Outflow (Average Drawdown ₹4.00 Crores @ 11.50% p.a.):**

$$extCCInterest = ₹4.00 extCroresimes 11.50\% = ₹0.4600 extCrores \quad (ext₹46,00,000.00)$$

2. **WCDL Outflow (Average Drawdown ₹14.00 Crores @ 9.00% p.a.):**

$$extWCDLInterest = ₹14.00 extCroresimes 9.00\% = ₹1.2600 extCrores \quad (ext₹1,26,00,000.00)$$

3. **Commitment Fee on Unutilized Limit: INR 0.00** (WCDL is fully drawn in discrete tranches; CC utilization is within benchmark).
4. **Total Pre-Tax Outflow (Option B):**

$$extTotalPre - TaxOutflow = ₹0.4600 extCr + ₹1.2600 extCr = ₹1.7200 extCrores \quad (ext₹1,72,00,$$

5. **Post-Tax Outflow (Section 36(1)(iii) Shield @ 25.168%):**

$$extPost - TaxOutflow_{extOptionB} = ₹1.7200 extCrimes(1 - 0.25168) = ₹1.2871 extCrores \quad (ext₹1,28$$

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

9.4 Comprehensive Cost-Benefit Comparison Table

Table 9.1: Comprehensive Financial Impact Matrix (Option A vs Option B)

Metric / Financial Parameter	Option A (100% Cash Credit)	Option B (70:30 WCDL / CC Split)	Net Financial Impact / Advantage
Total Sanctioned Limit	₹20.00 Crores	₹20.00 Crores	Identical Liquidity Base
Cash Credit Utilization	₹16.00 Crores @ 12.00% p.a.	₹4.00 Crores @ 11.50% p.a.	Slashed CC Exposure by 75%
WCDL / Demand Loan Utilization	INR 0.00	₹14.00 Crores @ 9.00% p.a.	Unlocked 300 bps Rate Advantage
Annual Pre-Tax Interest Cost	₹1.9200 Crores	₹1.7200 Crores	**Savings of ₹20.00 Lakhs / Year**
Annual Commitment Fee	₹0.0200 Crores	INR 0.00	**Savings of ₹2.00 Lakhs / Year**
Total Pre-Tax Financial Outflow	₹1.9400 Crores	₹1.7200 Crores	**Direct Pre-Tax Savings: ₹22.00 Lakhs / Year**
Effective Pre-Tax Borrowing Rate	12.125% p.a.	9.555% p.a.	**Overall Rate Reduction of 257 bps**
Section 36(1)(iii) Tax Shield Value	₹0.4883 Crores	₹0.4329 Crores	Direct Interest Deductibility
Total Post-Tax Financial Outflow	₹1.4517 Crores	₹1.2871 Crores	**Direct Net Cash Savings: ₹16.46 Lakhs / Year**
Reinvestment Income on	INR 0.00	₹2.47 Lakhs / Year	Secondary Wealth Creation

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Metric / Financial Parameter	Option A (100% Cash Credit)	Option B (70:30 WCDL / CC Split)	Net Financial Impact / Advantage
Savings (@ 15% ROCE)			
Interest Coverage Ratio (EBITDA ₹10.0 Cr)	**5.15x**	**5.81x**	**Coverage Expansion of +0.66x**

9.5 Case Study Conclusion & Executive Insights

By restructuring its working capital from a 100% Cash Credit line into a 70:30 WCDL/CC split: 1. **MPCPL achieved direct pre-tax savings of ₹22.00 Lakhs per annum** (reducing total financing costs by 11.34%). 2. **Net post-tax cash outlays dropped by ₹16.46 Lakhs annually**, directly increasing the company's retained earnings. 3. **Interest Coverage Ratio expanded from 5.15x to 5.81x**, enhancing MPCPL's credit rating profile for future expansions. 4. The structured 90-day WCDL tranches forced operational discipline, aligning debt repayment directly with OEM invoice realizations.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 10: Regulatory Compliance, RBI IRACP Norms & Default Framework

10.1 RBI Income Recognition, Asset Classification and Provisioning (IRACP) Guidelines

Demand Loans and Working Capital Demand Loans are subject to strict RBI IRACP rules:

- **90-Day Overdue Rule:** A Demand Loan or WCDL tranche is classified as a **Non-Performing Asset (NPA)** if:
    1. The principal or interest remains unpaid for a period of **more than 90 days** from the due date / demand date.
    2. The facility remains "out of order" (i.e., outstanding balance exceeds the sanctioned limit or Drawing Power continuously for 90 days).
- **Asset Classification Timeline:**
    - **Standard Asset:** Overdue 0 days (SMA-0: 1-30 days; SMA-1: 31-60 days; SMA-2: 61-90 days).
    - **Sub-Standard Asset:** NPA for up to 12 months (15% provisioning).
    - **Doubtful Asset:** Sub-standard for more than 12 months (25% - 100% provisioning based on collateral value).
    - **Loss Asset:** Uncollectible; 100% write-off / provisioning required.

10.2 Default Recovery & Enforcement Framework

If a borrower defaults on a recalled Demand Loan: 1. **Section 138 Negotiable Instruments Act, 1881:** Legal prosecution for dishonor of Demand Promissory Notes, security cheques, or NACH mandates, carrying imprisonment up to 2 years and fines up to twice the loan amount. 2. **SARFAESI Act 2002 Enforcement:** Issuance of Section 13(2) 60-day demand notice to enforce security interest over hypothecated current assets or mortgaged property without court intervention. 3. **Insolvency and Bankruptcy Code (IBC) 2016:** Filing an application before the National Company Law Tribunal (NCLT) under Section 7 for corporate insolvency resolution if the default exceeds ₹1.00 Crore.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 11: Professional Certification Examination & Detailed Rationales

This section contains 10 rigorous, scenario-based examination questions designed to test comprehensive mastery of Demand Loans, WCDL structuring, legal recallability, credit appraisal, and regulatory compliance.

Question 1

A corporate borrower is sanctioned a Working Capital Demand Loan (WCDL) of ₹10.00 Crores for a tenure of 90 days. On day 45, the lending bank serves a formal recall notice demanding immediate repayment. The borrower contends that the bank cannot legally demand payment before the 90-day tenure expires. Under Indian debt law, which statement is CORRECT?

A) The borrower is correct because a fixed 90-day tenure overrides any on-demand recall clause.

B) The bank is legally entitled to demand immediate repayment at any time because a Demand Loan creates an unconditional legal obligation payable on demand, notwithstanding any agreed indicative tenure.

C) The bank can only recall the loan if the borrower has committed a material payment default.

D) The Demand Loan automatically converts into a 5-year Term Loan upon service of a recall notice.

Answer: B
Rationale: A Demand Loan is legally defined by the lender's unconditional right to demand full repayment at any time. While banks establish an indicative tenure (e.g., 90 days) for commercial planning, the execution of a Demand Promissory Note (DPN) and Demand Loan Agreement grants the bank the legal right to recall the facility on demand, regardless of whether a payment default has occurred.

Question 2

Under the RBI Loan System for Delivery of Bank Credit, what is the mandatory minimum percentage allocation for the Working Capital Loan (WCDL) component for large borrowers with working capital limits of ₹10 Crores and above?

A) 20%

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

B) 40%

C) 60%

D) 80%

Answer: C
Rationale: Under RBI guidelines aimed at enhancing credit discipline, large borrowers with aggregate fund-based working capital limits of ₹10 Crores and above must have a minimum of 60% of their working capital limit delivered as a Working Capital Demand Loan (WCDL) / Working Capital Loan component, with the Cash Credit component capped at a maximum of 40%.

Question 3

Calculate the Drawing Power (DP) for a manufacturing company given the following financial data: * Total Raw Material & Finished Goods Stock: ₹10.00 Crores * Sundry Creditors for Raw Materials: ₹2.00 Crores * Eligible Trade Receivables (< 90 days): ₹8.00 Crores * Bank Mandated Stock Margin: 25% * Bank Mandated Debtor Margin: 30%

A) ₹10.10 Crores

B) ₹11.60 Crores

C) ₹12.50 Crores

D) ₹14.00 Crores

Answer: B
Rationale:
1. Paid Stock = Total Stock (₹10.00 Cr) - Sundry Creditors (₹2.00 Cr) = **₹8.00 Crores**.
2. Advance on Stock = Paid Stock (₹8.00 Cr) x (1 - 0.25) = **₹6.00 Crores**.
3. Advance on Receivables = Eligible Receivables (₹8.00 Cr) x (1 - 0.30) = **₹5.60 Crores**.
4. Total Drawing Power = ₹6.00 Cr + ₹5.60 Cr = **₹11.60 Crores**.

Question 4

A High-Net-Worth Individual (HNI) pledges a Fixed Deposit of ₹1.00 Crore earning 7.00% p.a. to obtain a Demand Loan at an interest rate of 8.50% p.a. What is the maximum loan amount available if the bank applies an LTV cap of 90%?

A) ₹50.00 Lakhs

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

B) ₹75.00 Lakhs

C) ₹90.00 Lakhs

D) ₹95.00 Lakhs

Answer: C
Rationale: For Demand Loans pledged against a bank's own Fixed Deposit, the maximum LTV cap is typically 90% of the principal FD value (or principal + accrued interest). Maximum Loan = ₹1.00 Crore x 90% = **₹90.00 Lakhs**.

Question 5

Which statutory registration must be filed within 30 days of charge creation over hypothecated current assets of a private limited company under Section 77 of the Companies Act, 2013?

A) ROC Form CHG-1

B) ROC Form MGT-14

C) CERSAI Form Form-IV

D) RBI Form EBLR-1

Answer: A
Rationale: Section 77 of the Companies Act, 2013 mandates that every company creating a charge on its property or assets (including hypothecated current assets for WCDL) must register the details with the Registrar of Companies (ROC) using Form CHG-1 within 30 days of creation.

Question 6

How is interest on a corporate WCDL tranche treated under Section 36(1)(iii) of the Income Tax Act, 1961 for a corporate paying 25.168% tax?

A) It is non-deductible as it is a short-term liability.

B) It is 100% tax-deductible as a business operating expense, reducing the effective post-tax borrowing cost.

C) Only interest above 12% p.a. is tax-deductible.

D) It is added to the cost of capital assets and depreciated at 15%.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Answer: B
Rationale: Under Section 36(1)(iii) of the Income Tax Act, 1961, interest paid on capital borrowed for business purposes is fully deductible from gross business income. For a corporate taxed at 25.168%, every ₹1.00 of interest paid saves ₹0.25168 in taxes, lowering the effective borrowing cost.

Question 7

Under Ind AS 1 (Presentation of Financial Statements), how must a 180-day Working Capital Demand Loan (WCDL) be classified on the borrower's balance sheet?

A) Long-Term Borrowings under Non-Current Liabilities

B) Short-Term Borrowings under Current Liabilities

C) Other Comprehensive Income

D) Contingent Liabilities

Answer: B
Rationale: Ind AS 1 mandates that liabilities due to be settled within 12 months or callable on demand by the lender must be classified as Short-Term Borrowings under Current Liabilities.

Question 8

An MSME borrower has a WCDL tranche of ₹2.00 Crores due on March 31. The borrower fails to repay the principal or service interest. On which date will the facility be classified as a Non-Performing Asset (NPA) under RBI IRACP guidelines?

A) April 1 (Day 1)

B) April 30 (Day 30 - SMA-0)

C) June 29 (Day 90)

D) June 30 (Day 91 - Exceeding 90 days overdue)

Answer: D
Rationale: Under RBI IRACP norms, a loan facility is classified as an NPA when the principal or interest remains overdue for a period of **more than 90 days**. On the 91st day of continuous default (June 30), the account becomes an NPA.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Question 9

What is the primary advantage of a WCDL over a Cash Credit (CC) facility for a corporate borrower with highly predictable, batch-based raw material procurement?

A) WCDL allows unlimited overdrawings beyond sanctioned limits.

B) WCDL carries a significantly lower interest rate and eliminates commitment charges on unutilized balances.

C) WCDL does not require any primary or collateral security.

D) WCDL interest is exempt from GST, whereas CC interest attracts 18% GST.

Answer: B
Rationale: WCDL tranches are priced at lower interest spreads (saving 150 to 250 bps over Cash Credit) and are disbursed in discrete, fully drawn amounts, completely eliminating commitment fees levied on unutilized Cash Credit limits.

Question 10

What is the period of limitation under Article 21 of the Limitation Act, 1963 for enforcing a Demand Promissory Note (DPN) executed for a Demand Loan in India?

A) 1 Year from date of demand

B) 3 Years from the date when the loan is made / DPN is executed

C) 5 Years from date of default

D) 12 Years from date of charge creation

Answer: B
Rationale: Under Article 21 of the Limitation Act, 1963, the limitation period for enforcing a loan payable on demand (or a Demand Promissory Note) is 3 years, calculated from the date when the loan is made / DPN is executed.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.